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POLICY NUMBER: FP-OPSFIN-125

Bad Debt Reserve & Write-Offs

This policy includes guidelines for the preparation and review of the Bad Debt Reserve and related write-offs.

POLICY STATEMENT

Assessing the collectability for outstanding accounts receivable is a subjective process. This policy serves to provide a framework in assessing the collectability of outstanding Accounts Receivable, subsequent write-offs, and the related accounting treatment for both.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. BAD DEBT RESERVE PREPARATION AND APPROVAL

- 1) Monthly, the property must calculate a Bad Debt Reserve and include the following:
 - a. Individual amounts that have been identified as a serious risk of non-collection, irrespective of the age. Items for consideration should include chargebacks, returned checks, aged house and group accounts (older than current month) where applicable.
 - b. Prior to calculating the reserve amount, credits must be added back to the totals (by aged categories) to prevent understating the Bad Debt Reserve.
 - c. A 100% reserve must be made for amounts which are aged greater than 90 days since the date of invoice.
 - d. The following exceptions may apply:
 - i. Amounts owed by Hilton Honors
 - ii. Hilton Intercompany amounts are not required to be provided for unless there is a collection risk. Receivables due from Managed or Franchised Hilton properties should not be considered exceptions.
 - iii. All exceptions other than those listed above require documented approval by the Regional Finance Director and/or VP of Operations Finance.
- 2) Review and approval of the Bad Debt Reserve is evidenced by the Finance Leader's approval and date on the reserve calculation. Any deviations or exceptions from policy must be noted on the calculation worksheet and appropriate back-up and additional exception approvals attached.
- 3) A calculation worksheet must be prepared every month regardless of the balance of aged items. The accounts receivable aging must always accompany the calculation worksheet.

B. BAD DEBT WRITE-OFF PREPARATION AND APPROVAL

- 1) As part of the monthly review of the accounts receivable aging, the General Manager and the Finance Leader must jointly identify any uncollectible debt that needs to be written off. At this point, a Bad Debt Write-Off Form must be completed and include the following (at a minimum):
 - a. Name of Customer
 - b. Amount to be written off
 - c. Date of write-off
 - d. Original invoice date or date debt incurred
 - e. Reason for write-off
 - f. Summary of actions taken to collect the debt (i.e., detailed notes on collection efforts)
 - g. Finance Leader approval
 - h. Operations Leader approval
 - i. Any other required approval(s) per the Approval Matrix below

- 2) Documented authorization must be obtained from the relevant parties per the following Matrix and attached to the Bad Debt Allowance Authorization Form. Verbal direction does not constitute an approval.

Write-Off Amount (in USD)	Operations Owner	Finance Owner
Above \$200,000	Area President	VP Operations Finance
\$50,001-\$200,000	AVP Operations	Regional Finance Director
Up to \$50,000	Hotel Operations Leader	Hotel Finance Leader

- 3) The hotel should reclaim any applicable sales tax originally paid on the revenue that was not collected, as allowable by local legislation.
- 4) All bad debts write-offs are to be recorded to Bad Debt Expense. This is to be done as soon as the approval to write-off the debt has been granted. Where a provision exists for the debt written off, the provision should be adjusted at month-end accordingly.
- 5) All documentation related to the bad debt event is to be retained in accordance with Hilton’s Records Management policy (HWI-LG-010). If a payment is received on a previously written off account, the file should be updated accordingly and the amount credited to Bad Debt Expense. Tax consequences, as per local tax law, also need to be considered / verified when recognizing the payment. Additionally, any write-off of a political function requires special attention to ensure compliance with local laws regarding political contributions.
- 6) If property management chooses to hire a collection agency or legal firm to continue collection efforts, this should be at the discretion of the property and should follow applicable Hilton policies. At the point of forwarding to a collection agency and/or legal firm, a Bad Debt Write-Off Form must be prepared, submitted for approval per the Approval Matrix, and recorded to the GL.

DEFINITIONS	
TERM/ACRONYM	DEFINITION
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).
Regional Finance Director	Regional Team Member responsible for the Accounting / Finance functions of a set of Hotels. Property Finance Leader has a direct or indirect reporting relationship to this individual.
Operations Leader	Ranking Operations representative for the property (i.e., General Manager, Hotel Director, or Operations Manager)